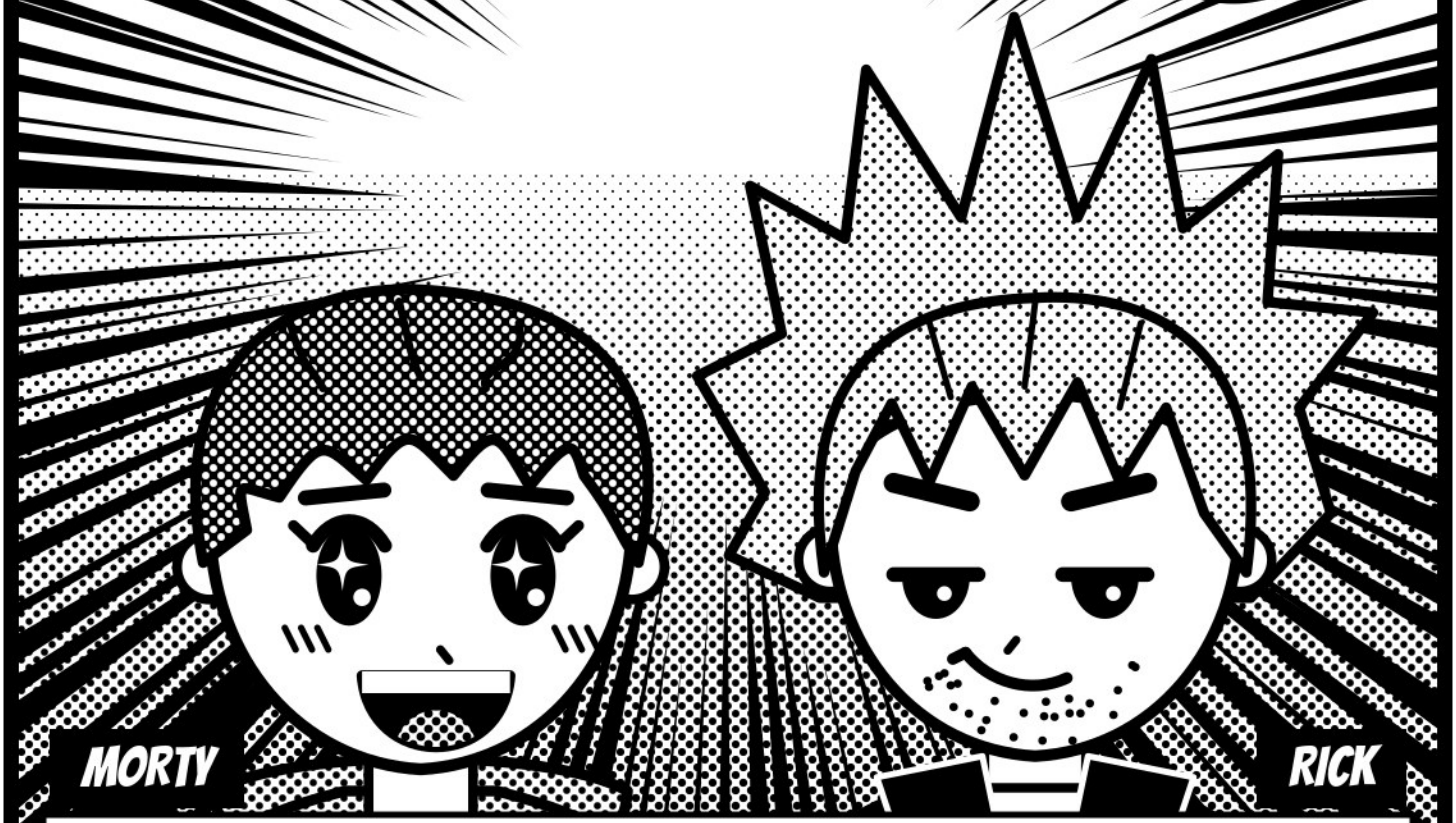
MONEY BRAINROT

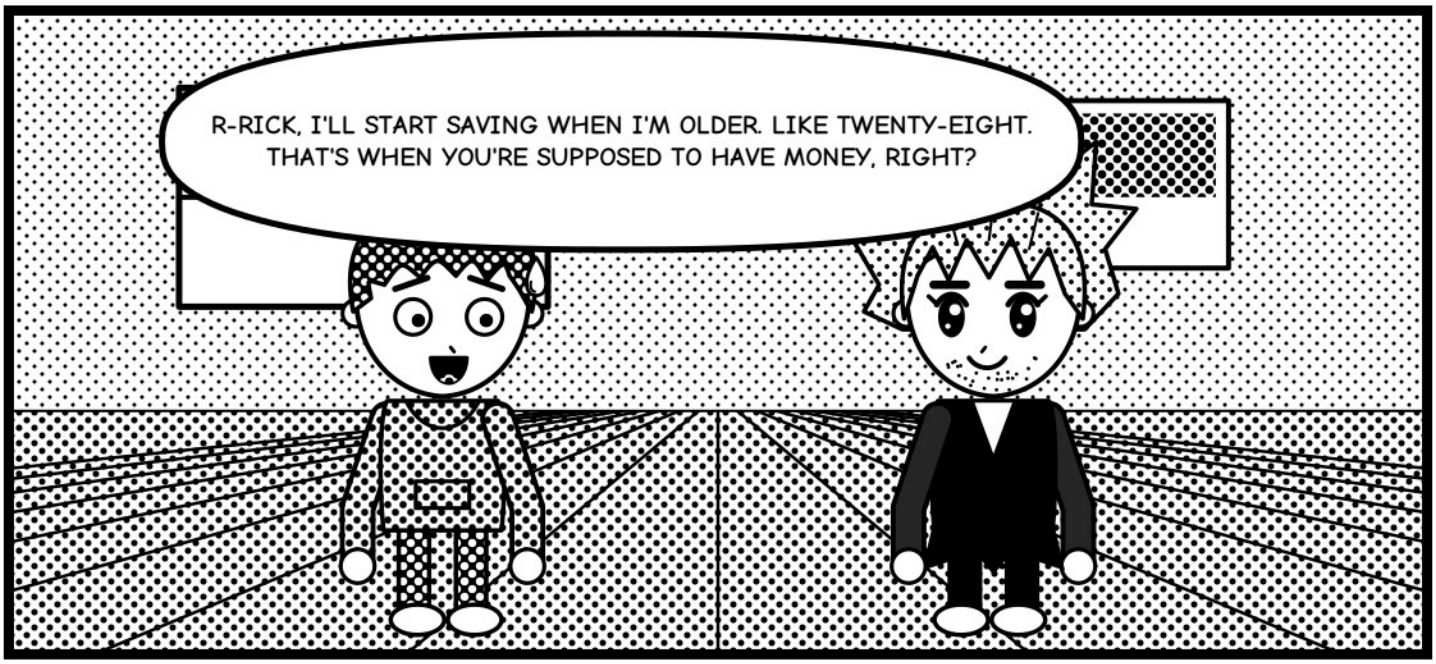
MODULE 3 · UNDERSTAND INVESTING

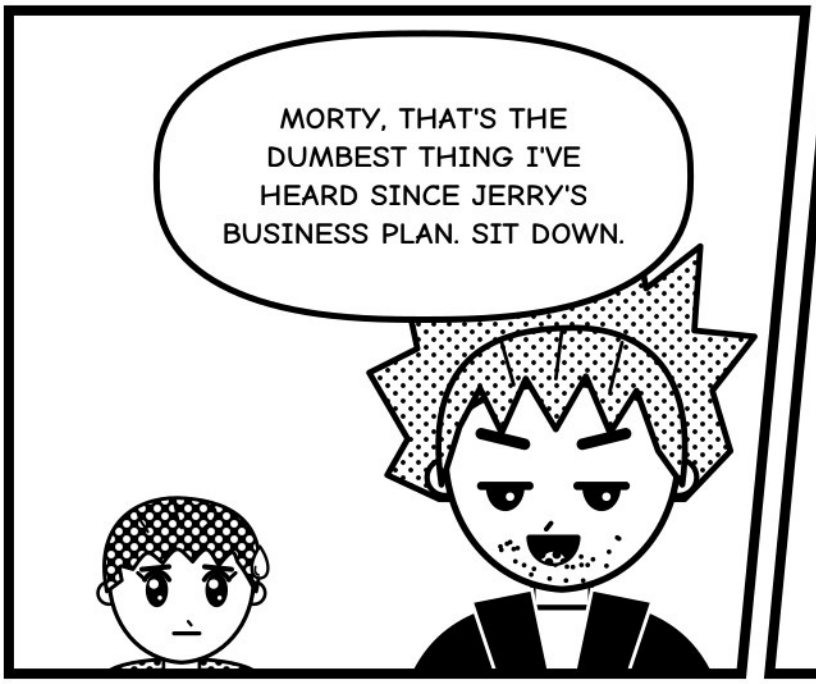
THE MAGIC OF COMPOUNDING

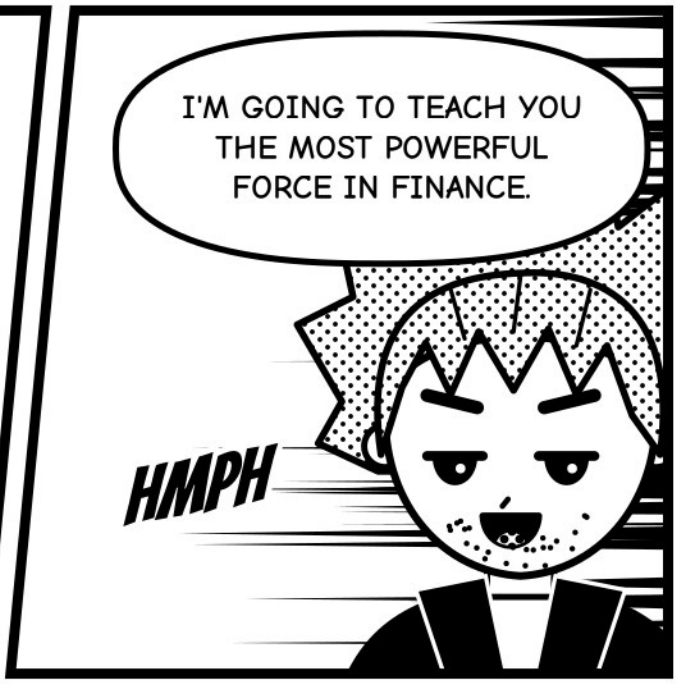
REEL 5

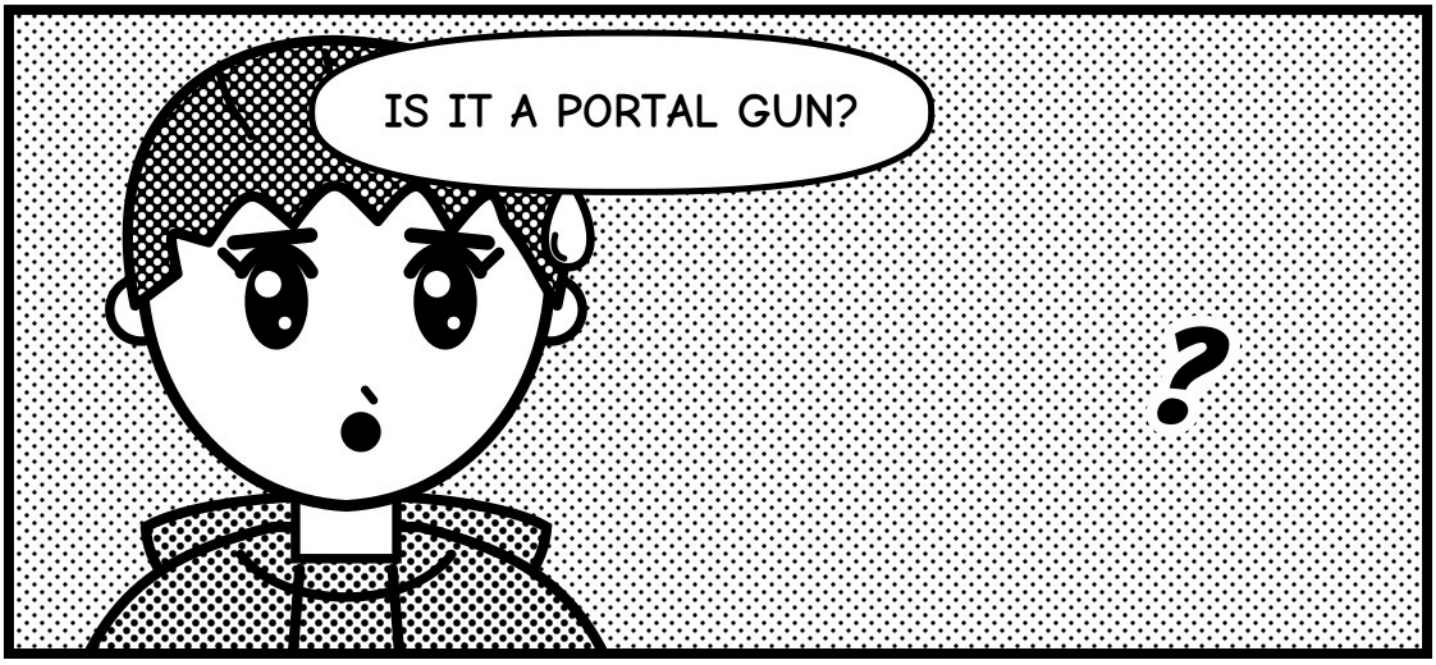


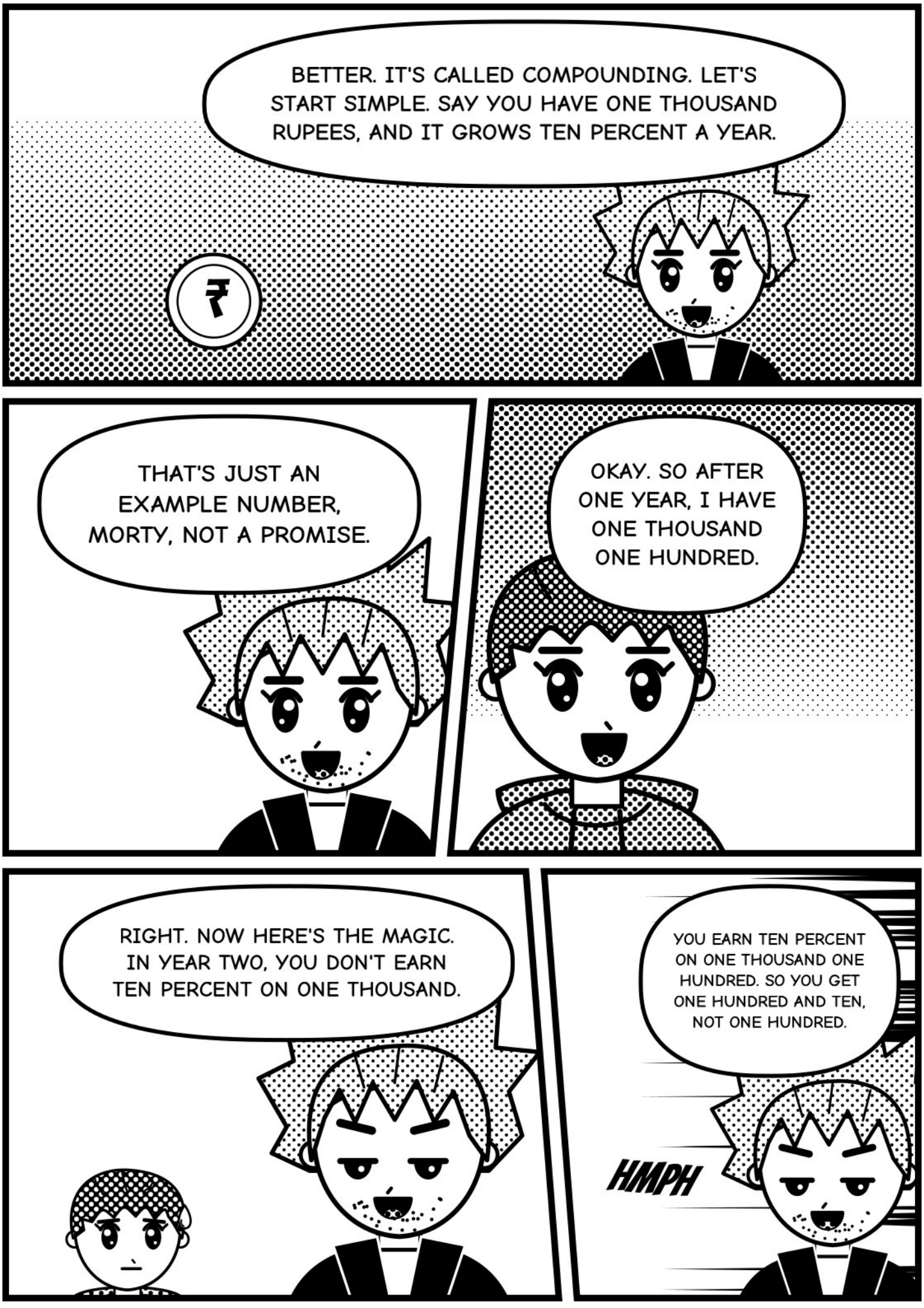
#Compounding #StartEarly #PowerOfCompounding
#InvestingBasics #FinancialLiteracy #MoneyBrainrot

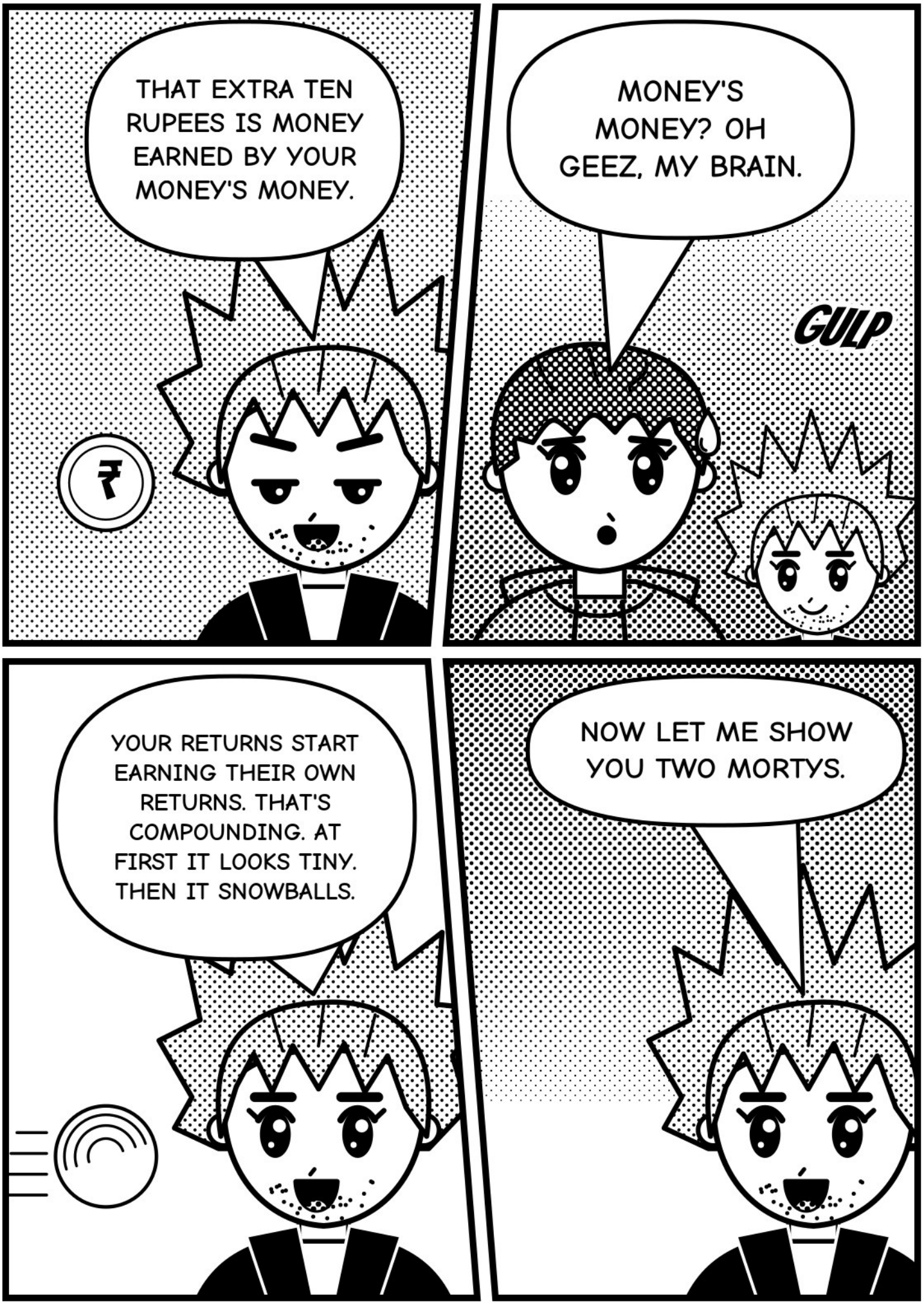

R-RICK, I'LL START SAVING WHEN I'M OLDER. LIKE TWENTY-EIGHT. THAT'S WHEN YOU'RE SUPPOSED TO HAVE MONEY, RIGHT?

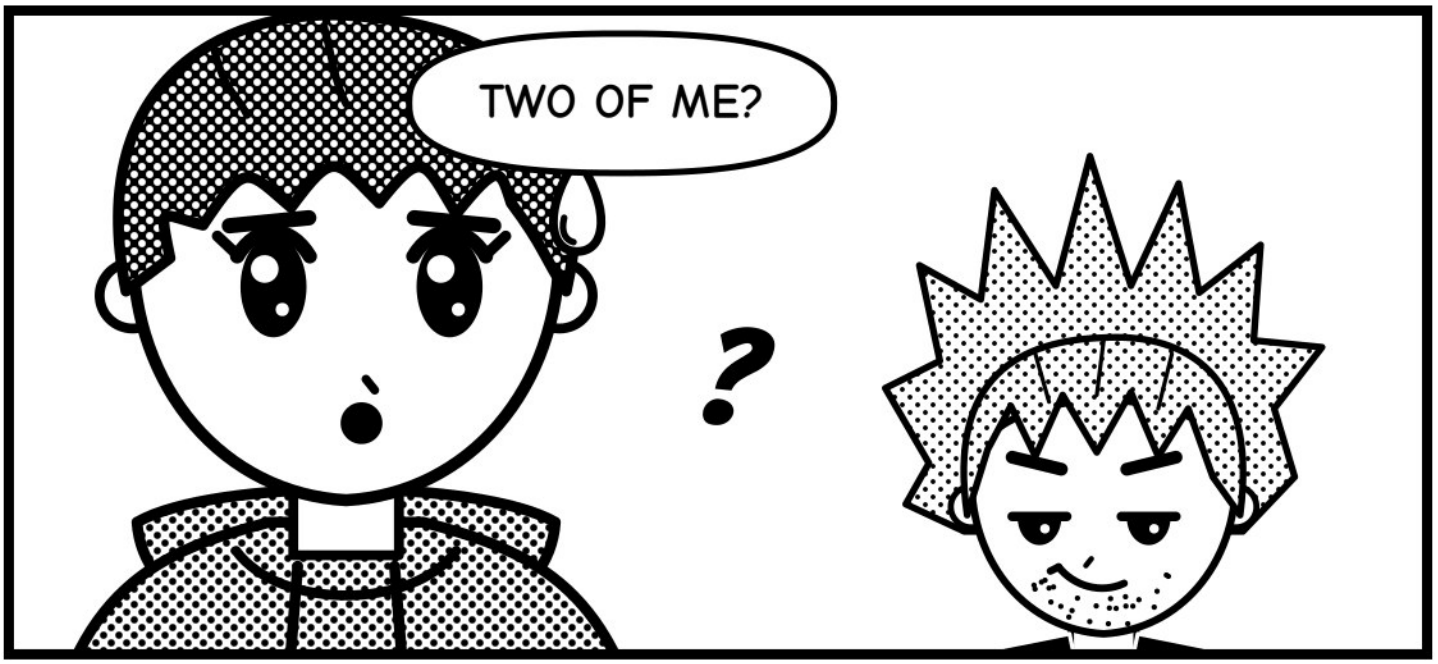

MORTY, THAT'S THE DUMBEST THING I'VE HEARD SINCE JERRY'S BUSINESS PLAN. SIT DOWN.

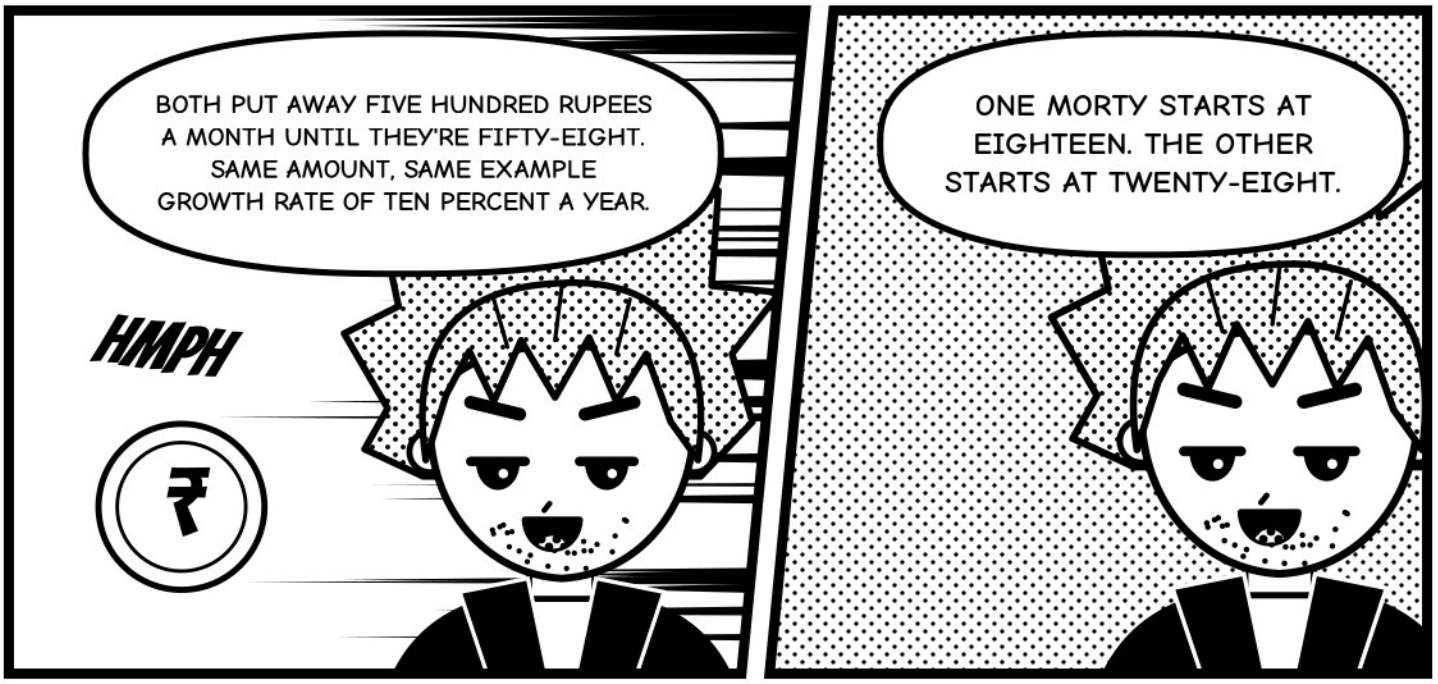

I'M GOING TO TEACH YOU THE MOST POWERFUL FORCE IN FINANCE.
HMPH

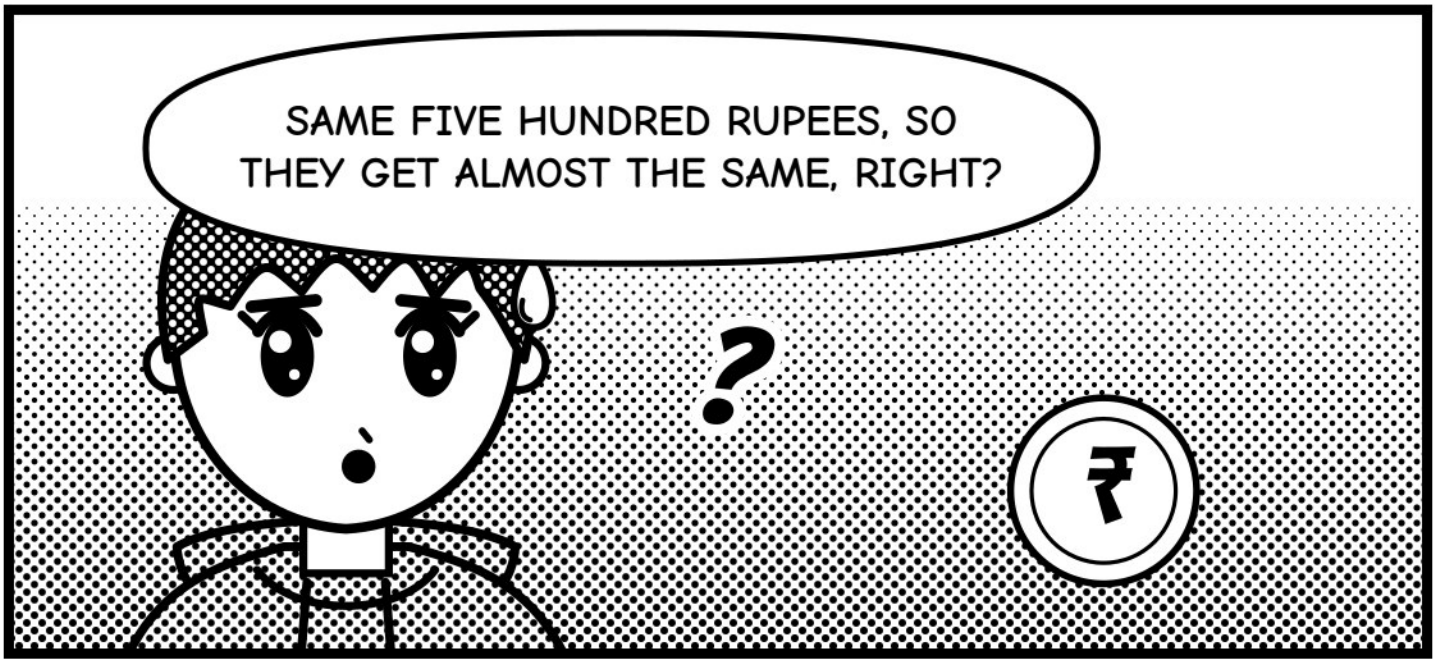

IS IT A PORTAL GUN?
?

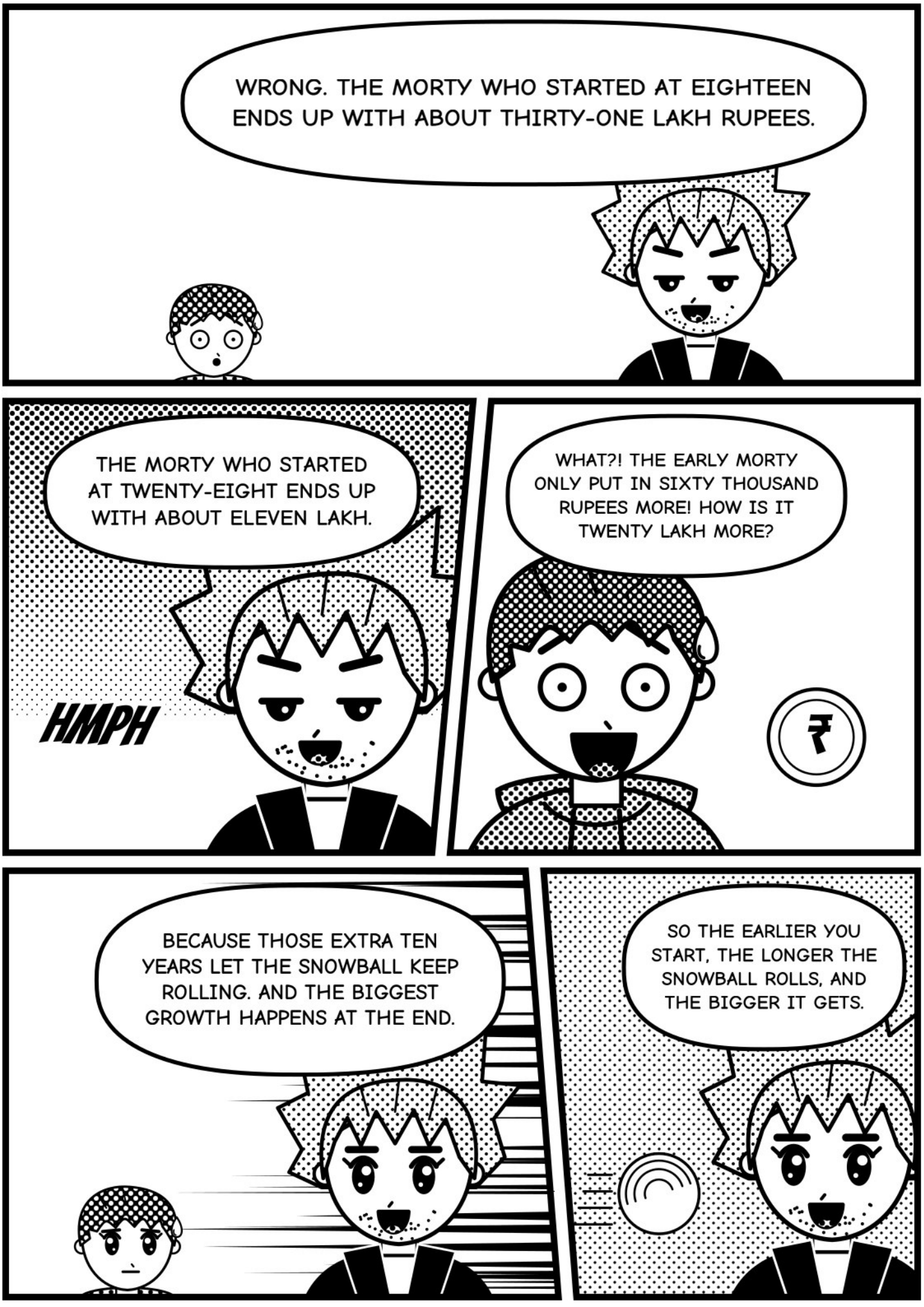

BETTER. IT'S CALLED COMPOUNDING. LET'S START SIMPLE. SAY YOU HAVE ONE THOUSAND RUPEES, AND IT GROWS TEN PERCENT A YEAR.
₹
THAT'S JUST AN EXAMPLE NUMBER, MORTY, NOT A PROMISE.
OKAY. SO AFTER ONE YEAR, I HAVE ONE THOUSAND ONE HUNDRED.
RIGHT. NOW HERE'S THE MAGIC. IN YEAR TWO, YOU DON'T EARN TEN PERCENT ON ONE THOUSAND.
YOU EARN TEN PERCENT ON ONE THOUSAND ONE HUNDRED. SO YOU GET ONE HUNDRED AND TEN, NOT ONE HUNDRED.
HMPH


THAT EXTRA TEN RUPEES IS MONEY EARNED BY YOUR MONEY'S MONEY.
₹
MONEY'S MONEY? OH GEEZ, MY BRAIN.
GULP
YOUR RETURNS START EARNING THEIR OWN RETURNS. THAT'S COMPOUNDING. AT FIRST IT LOOKS TINY. THEN IT SNOWBALLS.
NOW LET ME SHOW YOU TWO MORTYS.


TWO OF ME?
?


BOTH PUT AWAY FIVE HUNDRED RUPEES A MONTH UNTIL THEY'RE FIFTY-EIGHT. SAME AMOUNT, SAME EXAMPLE GROWTH RATE OF TEN PERCENT A YEAR.
HMPH
₹
ONE MORTY STARTS AT EIGHTEEN. THE OTHER STARTS AT TWENTY-EIGHT.


SAME FIVE HUNDRED RUPEES, SO THEY GET ALMOST THE SAME, RIGHT?
?
₹


WRONG. THE MORTY WHO STARTED AT EIGHTEEN ENDS UP WITH ABOUT THIRTY-ONE LAKH RUPEES.
THE MORTY WHO STARTED AT TWENTY-EIGHT ENDS UP WITH ABOUT ELEVEN LAKH.
HMPH
WHAT?! THE EARLY MORTY ONLY PUT IN SIXTY THOUSAND RUPEES MORE! HOW IS IT TWENTY LAKH MORE?
₹
BECAUSE THOSE EXTRA TEN YEARS LET THE SNOWBALL KEEP ROLLING. AND THE BIGGEST GROWTH HAPPENS AT THE END.
SO THE EARLIER YOU START, THE LONGER THE SNOWBALL ROLLS, AND THE BIGGER IT GETS.


SO TIME IS BASICALLY A CHEAT CODE?
THE ONLY CHEAT CODE THAT'S LEGAL IN EVERY DIMENSION. TWO RULES, MORTY. START EARLY, EVEN WITH A TINY AMOUNT.
PING!
AND DON'T KEEP PULLING YOUR MONEY OUT, OR YOU BREAK THE SNOWBALL.
GOT IT. START SMALL, BUT START EARLY.
AND THIS IS FOR LEARNING, NOT INVESTMENT ADVICE. TIME BEATS TIMING, MORTY. EVERY SINGLE TIME.



REMEMBER THIS

1. Compounding means your returns start earning their own returns. The snowball keeps growing.
2. Rs 500 a month until 58 at an example 10%: start at 18 and get about Rs 31 lakh. Start at 28 and get about Rs 11 lakh.
3. Start early, even with a tiny amount, and don't keep pulling your money out.
4. Example numbers for learning, not investment advice.